

FEDERAL MARITIME COMMISSION

PETITION OF COSCO SHIPPING LINES
CO., LTD., COSCO SHIPPING LINES
(EUROPE) GMBH, ORIENT OVERSEAS
CONTAINER LINE LIMITED, AND OOCL
(EUROPE) LIMITED FOR AN EXEMPTION
FROM AGREEMENT FILING

Docket No. P1-18

Served: September 25, 2018

BY THE COMMISSION: Michael A. KHOURI, *Acting
Chairman*, Rebecca F. DYE, *Commissioner*.

ORDER GRANTING PETITION

On August 16, 2018, Cosco Shipping Lines Co., Ltd. (COSCO), Cosco Shipping Lines (Europe) GmbH (COSCO (Europe)), Orient Overseas Container Line Limited (OOCL), and OOCL (Europe) Limited (OOCL (Europe)) filed a petition with the Federal Maritime Commission (Commission) for an exemption from the requirement that they file agreements between them. The Notice of Filing and Request for Comments was served on August 20, 2018, and published in the Federal Register on August 23, 2018. 83 Fed. Reg. 42650. Comments were due by September 6, 2018, and the Commission received no comments.

On November 8, 2017, COSCO, OOCL, and OOCL (Europe) petitioned the Commission for an exemption from filing

agreements between COSCO and either OOCL or OOCL (Europe), or both, similar to that available to wholly owned subsidiaries under 46 C.F.R. § 535.307, including exemptions from the provisions of 46 U.S.C. § 41105 (section 10(c) of the Shipping Act of 1984). *See* Petition of Cosco Shipping Lines Co., Ltd. (COSCO), Orient Overseas Container Line Limited (OOCL), and OOCL (Europe) Limited for an Exemption from Agreement Filing, Docket No. P2-17 (Nov. 8, 2017) (P2-17 Petition). The Commission granted this petition on August 8, 2018. *Pet. of Cosco Shipping Lines, Co., Ltd. (COSCO), Orient Overseas Container Line Ltd. (OOCL), & OOCL (Europe) Ltd. for an Exemption from Agreement Filing*, Docket No. P2-17, Order Granting Petition (FMC Aug. 8, 2018) (P2-17 Order). The current petition seeks to add agreements and activities concerning COSCO (Europe) to the existing exemption.

Because the requested exemption will not result in substantial reduction in competition or be detrimental to commerce, the Commission grants the petition.

I. BACKGROUND

COSCO is a China-based ocean common carrier, wholly owned by its parent company COSCO Shipping Holdings Co., Ltd. (CS Holdings). In July 2018, CS Holdings, through its wholly owned subsidiary Faulkner Global Holdings Limited, acquired Orient Overseas (International) Limited (OOIL), the parent company of both OOCL and OOCL (Europe). As a result of that transaction, OOCL became majority-owned and controlled by CS Holdings. While COSCO and OOCL remain separate legal entities, they are part of a single, common business enterprise controlled by CS Holdings.¹

Before the consummation of this transaction, COSCO, OOCL, and OOCL (Europe) petitioned the Commission for an exemption from the agreement filing requirements of the Shipping

¹ For more factual background on the original transaction, *see* P2-17 Petition.

Act and 46 C.F.R. part 535, and for an exemption for activities resulting solely from such agreements from the prohibitions in 46 U.S.C. § 41105. The parties argued that, although the exemption from filing requirements in 46 C.F.R. § 535.307 applies only to wholly owned subsidiaries, it should be applied to all agreements and activities between COSCO and OOCL and OOCL (Europe) so long as the parties are commonly owned and controlled. They argued that the exemption was justified by the same policies considered by the Commission when it originally adopted § 535.307.

The Commission granted the P2-17 Petition on August 8, 2018. Petition P2-17 did not include COSCO (Europe) as it was not then operating in the U.S. foreign trades. COSCO (Europe) has since resumed this operation and the parties are requesting that the Commission extend the P2-17 Order to include COSCO (Europe). Pet. at 1. The parties are relying on the same factual and legal bases as those in the P2-17 Petition and Order.

II. DISCUSSION

The Commission has the authority under 46 U.S.C. § 40103 (section 16 of the Shipping Act of 1984) to grant exemptions for agreements or activities if the exemption will not result in a substantial reduction in competition or be detrimental to commerce. The Commission used this authority to promulgate 46 C.F.R. § 535.307, which provides: (1) that agreements between or among ocean common carriers and/or marine terminal operators are exempt from the Act's filing requirements when the parties are wholly owned subsidiaries of the same parent company or one party is the wholly owned subsidiary of the other; and (2) that concerted activities resulting solely from such agreements are exempt from the prohibitions in 46 U.S.C. § 41105. *See* § 535.307. The Commission has already granted COSCO, OOCL, and OOCL (Europe) an exemption from the agreement filing requirements of the Act and 46 C.F.R. part 535 for agreements between or among the three parties as well as an exemption from the prohibitions in 46 U.S.C.

§ 41105 for any concerted activities by the three parties that result from such agreements. The parties now ask that the Commission extend this exemption to COSCO (Europe). Based upon the following analysis, the Commission grants the parties' petition to add COSCO (Europe) to their existing exemption.

A. Brief Overview of the Commission's Decision in P2-17

In the P2-17 Order, the Commission performed a full analysis of the arguments set forth by the parties in their petition. The Commission began by addressing why the exemption from agreement filing for wholly owned subsidiaries in 46 C.F.R. § 535.307 was established. P2-17 Order at 4. Section 535.307 was promulgated in 1988 after Crowley Maritime Corp. (Crowley) applied for an exemption from section 5 of the Shipping Act's agreement-filing requirements, the prohibitions against operating under unfiled agreements in section 10(a), and the section 10(c) prohibition against certain concerted actions.² Crowley argued that the 1984 Act was not intended to confer Commission jurisdiction over relationships between and among companies sharing the same ownership. Most significantly, in their petition, Crowley pointed to the Supreme Court's decision in *Copperweld Corp. v. Independence Tube Corp.*, 467 U.S. 752 (1984), for support for this proposition.

The Commission granted Crowley the exemptions requested and applied them on an industry-wide basis to concerted activities between and among certain affiliated entities. 53 Fed. Reg. 11072 (Apr. 5, 1988).³ The final rule did not discuss the reasons for granting the exemption in any great detail, simply noting that the Commission had found that the exemption would not substantially

² Petition of Crowley Maritime Corporation, Application for Section 16 Exemption, Docket No. 88-8 (Dec. 14, 1987).

³ The exemption was originally codified at 46 C.F.R. § 572.308.

impair effective regulation by the Commission, be unjustly discriminatory, result in a substantial reduction in competition, or be detrimental to commerce.⁴ *See id.*

Next, the Commission discussed the feasibility of applying an exemption like 46 C.F.R. § 535.307 to situations involving majority-owned subsidiaries rather than wholly owned ones. Because Crowley only sought an exemption limited to companies in which it held a one hundred percent ownership interest, the Commission never considered situations in which ownership of the subsidiary would be less than one hundred percent when establishing § 535.307. *See Crowley Pet.* at 16. In assessing whether to extend the exemption to majority-owned subsidiaries, the Commission turned to *Copperweld*, which listed several factors that can aid in the determination of whether conduct is unilateral or concerted. The Court stated that “a parent and its wholly owned subsidiary have a complete unity of interest” and one “corporate consciousness.” 467 U.S. at 771. The subsidiary “acts for the benefit of the parent, its sole shareholder.” *Id.* The parent and subsidiary “share a common purpose whether or not the parent keeps a tight rein over the subsidiary,” with the parent able to “assert full control at any moment if the subsidiary fails to act in the parent’s best interests.” *Id.* at 771–72. “[T]he ultimate interests of the subsidiary and the parent are identical, so the parent and the subsidiary must be viewed as a single economic unit.” *Id.* at 772 n.18. In sum, the Court focused on who benefitted from the subsidiary’s activity, how aligned the parent and subsidiary’s interests were, and who had control and decision-making authority.

⁴ Prior to the enactment of the Ocean Shipping Reform Act of 1998 (OSRA), section 16 of the Shipping Act included four criteria for granting an exemption. OSRA deleted the first two criteria (that the exemption would not substantially impair effective regulation by the Commission or be unjustly discriminatory) leaving only the latter two criteria (that the exemption would not result in substantial reduction in competition or be detrimental to commerce). *See Pub. L. No. 105-258*, § 114; 46 U.S.C. § 40103.

The Commission also considered several cases cited by the parties that have applied the *Copperweld* rationale to situations in which the subsidiary is less than wholly owned but still under the parent's legal ownership and control. In two of those cases, the courts held that a 51 percent ownership stake in the subsidiary was sufficient to find the conduct in question to be unilateral for purposes of § 1 of the Sherman Act. See *Novatel Commc'ns, Inc. v. Cellular Tel. Supply, Inc.*, 1986 U.S. Dist. LEXIS 16017, at *25–26 (N.D. Ga. 1986); *Direct Media Corp. v. Camden Tel. & Tel. Co.*, 989 F. Supp. 1211, 1216 (S.D. Ga. 1997). The two other cases shed more light on when to consider parent and subsidiary conduct unilateral. See *Coast Cities Truck Sales v. Navistar Int'l Transp. Co.*, 912 F. Supp. 747, 764 (D. N.J. 1995) (stating that courts should “determine whether the parent and subsidiary are inextricably intertwined in the same corporate mission, are bound by the same interests which are affected by the same occurrences, and exist to accomplish essentially the same objectives”); *Bell Atl. Bus. Sys. Servs. v. Hitachi Data*, 849 F. Supp. 702, 706 (N.D. Cal. 1994) (stating that, for the same reasons that a parent and wholly owned subsidiary are considered the “same entity” because of the parent's power to exercise full control, “a parent and a subsidiary over which the parent has legal control cannot conspire to restrain trade”).

The Commission also discussed *American Needle, Inc. v. NFL*, 560 U.S. 183 (2010). In *American Needle*, the Court stated that “[a]greements made within a firm can constitute concerted action covered by § 1 when the parties to the agreement act on interests separate from those of the firm itself, and the intrafirm agreements may simply be a formalistic shell for ongoing concerted action.” 560 U.S. at 200. *American Needle* built upon the earlier tenets of *Copperweld*—the unity of the parent and subsidiary's interests and the location of control and decision-making authority—to add an additional inquiry into the identities and interests of separate companies with ownership in the subsidiary.

Lastly, the Commission applied the *Copperweld* and *American Needle* analyses to future agreements between COSCO

and OOCL or OOCL (Europe), and found that such agreements were not likely to constitute concerted action subject to § 1 of the Sherman Act. CS Holdings, owning at least 58.5% of OOIL, has majority ownership of OOIL and, significant for *Copperweld* analysis, full control over OOCL and OOCL (Europe). Though COSCO and the two OOCL subsidiaries operate under their respective brands, all operate in the best interests of CS Holdings. Therefore, because these agreements did not raise implications under § 1 of the Sherman Act, granting the requested exemption did not result in a substantial reduction in competition and was not detrimental to commerce.

B. Extending P2-17 to COSCO (Europe)

Because COSCO (Europe) is a wholly owned subsidiary of COSCO and is under the full control of CS Holdings,⁵ COSCO (Europe) is a part of the same business enterprise with OOCL and OOCL (Europe). The same reasoning to allow the petitioned exemption in P2-17, therefore, applies here as well. COSCO (Europe), as a wholly owned subsidiary of COSCO, has unity of interest with COSCO. Because COSCO (Europe) is under full control of CS Holdings, which also has full control of COSCO and OOCL and OOCL (Europe) through their parent company, OOIL, agreements between or among COSCO, COSCO (Europe), OOCL, and OOCL (Europe) would not be subject to § 1 of the Sherman Act. Therefore, granting petitioners an exemption from the Shipping Act that would extend the P2-17 Order to COSCO (Europe) would not result in a substantial reduction in competition or be detrimental to commerce.

III. CONCLUSION

The Commission finds that the requested exemption will not result in substantial reduction in competition or be detrimental to commerce.

⁵ See P1-18 Petition at 1–2.

THEREFORE, IT IS ORDERED, that COSCO, COSCO (Europe), OOCL, and OOCL (Europe)'s Petition is GRANTED.

IT IS FURTHER ORDERED, that agreements between or among COSCO, COSCO (Europe), OOCL, or OOCL (Europe) are exempt from the filing requirements of the Shipping Act and 46 C.F.R. part 535,

IT IS FURTHER ORDERED, that the concerted activities of COSCO, COSCO (Europe), OOCL, and OOCL (Europe) are exempt from 46 U.S.C. § 41105 to the extent that those activities result solely from agreements between or among COSCO, COSCO (Europe), OOCL, or OOCL (Europe).

FINALLY, IT IS ORDERED, that this proceeding is discontinued.

Rachel E. Dickon
Secretary